

Emkay Taps & Cutting Tools Ltd

Concall-tracker report • Ticker: EMKAYTOOLS (NSE SME / BSE) • Prepared 04 July 2026 • NO-CONCALL web deep-dive

Read this first — the company is not what its name suggests any more

The cutting-tools **manufacturing business was demerged out of this listed company**. In plain words: the factory that made taps and drills was moved into a brand-new, separately listed company called **Emkay Tools Limited (ticker ETL)**. The scheme became effective on 19 November 2024 and the spin-off completed on 5 December 2024, with shareholders getting 1 share of the new company for every 1 share they held here.

What is left inside this listed entity (EMKAYTOOLS) today: a very small wind-power business plus a large pile of financial investments. It is now effectively a windmill-plus-investment holding company, **not** a cutting-tools maker. The manufacturing growth story now belongs to the other company, ETL.

1. Snapshot

What the business does (today): Emkay Taps & Cutting Tools Ltd used to manufacture high-speed steel threading taps, dies, drills and precision cutting tools for the automobile and engineering industries. After the November 2024 demerger, that manufacturing was hived off into a separate listed company (Emkay Tools Ltd). The listed entity that keeps the "EMKAYTOOLS" ticker now only runs a small set of windmills (renewable power sold to the grid) and holds a large portfolio of financial investments whose gains flow in as "other income."

Figure	Value	Plain-English read
Market value (market cap)	~₹106 crore	What the whole company is worth on the stock market — small; it has fallen roughly two-thirds over the past year.
Revenue FY24 (pre-demerger)	₹103 crore	Total sales in the year to Mar-2024, back when the tools factory was still inside the company. Up from ₹89 crore the year before.
Revenue FY25 → FY26 (post-demerger)	₹41.9 cr → ₹32.6 cr	Sales after the factory left. Down about 22% in FY26 — the business is now much smaller.
Net profit FY24 → FY26	₹72 cr → ₹8.1 cr	Yearly profit. It collapsed roughly 70% in FY26 because most of the earning engine (and one-off gains) is gone.
Other income FY24 / FY26	₹45 cr / ₹12.8 cr	Money earned from investments (dividends, interest, market gains) rather than from the actual business — a very large share of total profit.
Investments on books (Mar-2024)	~₹254 crore	A big pile of liquid financial investments held by the company — larger than its own stock-market value, and the real source of its profits.
Borrowings	₹6 crore	Debt is tiny — the company is effectively debt-free.
Promoter holding	74.99%	The founding family owns about three-quarters of the company — a very high, steady stake.

Numbers in ₹ crore. FY24 and earlier figures are the pre-demerger company (with the tools factory inside); FY25/FY26 figures are the residual windmill-plus-investment company. Sources: Screener financial CSVs, stockanalysis.com, CRISIL rating rationale.

2. Concall coverage

No concall transcripts were available on Screener — this report is based on a global web deep-dive. This is a small SME-listed company that does not hold public earnings conference calls, so there are no transcripts to read. Instead the analysis below is built from the public record.

Sources used:

- Screener.in company page and downloaded financial statements (profit & loss, balance sheet, ratios, shareholding).
- CRISIL credit rating rationale for Emkay Taps and Cutting Tools Ltd, dated 19 December 2024 (post-demerger profile).
- NSE archives — the FY2023-24 annual report and corporate announcements on the demerger / NCLT order.
- MarketScreener and financesaathi news items confirming the spin-off timeline and 1:1 share allotment.
- stockanalysis.com for FY25 and FY26 revenue, profit and market-cap figures.
- Independent research write-up (EquityEdge Research) for business background.

The public record for the *residual* (post-demerger) company is thin: there is no investor presentation, no earnings call, and no forward guidance for the windmill-plus-investment entity. That limits how firmly management consistency can be judged — noted honestly here.

2b. Latest update highlights — FY26 (year to Mar-2026)

- **Revenue fell about 22%** to roughly ₹32.6 crore, from about ₹41.9 crore in FY25 — the business keeps shrinking after the factory was demerged out. (Plain read: the company sells much less now that it is only windmills plus investment income.)
- **Net profit dropped about 70%** to about ₹8.1 crore — earnings per share fell to ₹7.60. (Plain read: profit nearly a third of last year's, because the operating engine is gone and market-linked gains were smaller.)
- **Other (investment) income of ~₹12.8 crore** was again a very large slice of the profit. (Plain read: most of what the company "earns" comes from its investment pile, not from running a business.)
- **Demerger fully completed** — the tools factory now sits in the separately listed Emkay Tools Ltd (ETL). (Plain read: if you want the manufacturing growth story, that is now a different stock.)

Source: stockanalysis.com FY26 figures and demerger filings. Next results expected around 14 August 2026.

2c. Business mix & capacity

Domestic vs export split: Not disclosed for the current company. Historically the cutting-tools business was export-oriented, but that business has been demerged out; the residual windmill power is sold entirely within India. (Plain read: the old export story now belongs to Emkay Tools Ltd, not to this listed entity.)

Capacity: The company retains about **2.8 MW of wind-power capacity** across three windmills — roughly 1.25 MW in Karnataka (2008) and two 0.8 MW units in Rajasthan (2010). This generates only around **₹2 crore of revenue** a year (per CRISIL). (Plain read: the operating business left inside is tiny and mature.)

Capacity utilization: Not disclosed. Wind generation depends mainly on wind conditions rather than a factory being run harder or softer. No expansion of the wind fleet has been announced.

3. Earning Trigger thesis

There is no durable operating earning trigger left in this listed company

The one genuine growth engine — the cutting-tools factory riding "Make in India," auto demand and exports — has been **legally moved out** into a separate company (Emkay Tools Ltd). What remains here is a small, mature windmill (about ₹2 crore of sales) and a ₹250-crore-plus investment portfolio. The company's profit therefore rises and falls with financial markets, not with a business that is compounding. That is not a durable, repeatable earning trigger — it is a treasury book. The only "value" angle is that the market value (~₹106 crore) sits well below the investment pile the company holds, but there is no stated plan to release that value to shareholders (no dividend is paid).

Trigger	What the record says	Evidence so far	Time horizon	Strength
Cutting-tools manufacturing growth	Was the real driver (auto, engineering, exports, Make-in-India)	Demerged out — no longer part of this company	Gone from here	N/A here
Windmill / renewable power	Small legacy power business, sold to the grid	Only ~₹2 cr revenue; no expansion announced	Flat / mature	Weak
Investment portfolio income	Large treasury book throws off dividends, interest, gains	Real but market-dependent; income fell sharply in FY26	Year-to-year, unpredictable	Moderate but not durable
Value-unlock (cash vs market cap)	Investments (~₹254 cr) far exceed market value (~₹106 cr)	No dividend, buyback or payout plan stated	Unclear	Unproven

4. Management Consistency scorecard

Period	What was promised / stated	What actually happened	Verdict
Jun 2023	Board announced a plan to demerge the manufacturing business into a new company to "unlock value"	Scheme filed and pursued through NCLT	Too-early → later Delivered
Oct–Dec 2024	Complete the demerger and list the new company (ETL), 1 new share per share held	NCLT sanctioned 28 Oct 2024; effective 19 Nov 2024; spin-off completed 5 Dec 2024; shares allotted 1:1	Delivered
FY25–FY26	No public guidance given for the residual windmill-plus-investment company	Revenue and profit fell sharply; no strategy for the leftover entity communicated	Dropped / not addressed
Ongoing	No dividend policy despite a large cash/investment pile	Dividend payout has stayed at 0%	Missed (from a shareholder-return view)

Narrative drift: On the one hand, management did exactly what they said on the big corporate action — they announced the demerger in mid-2023 and completed it on schedule by end-2024, which is a point in their favour. On the other hand, once the factory left, there has been **no articulated plan** for what the listed

shell should now do: no guidance, no investor communication, and no move to return the large investment pile to shareholders. CRISIL itself flagged that the residual company's medium-term business plan "remains monitorable." So the record is a mix of one promise clearly kept and a strategic silence afterwards, on a very thin public record.

5. Bottom line — two verdicts

Durable earning trigger? → NO

The genuine growth engine (cutting-tools manufacturing) has been demerged out of this listed company and now sits in Emkay Tools Ltd. What remains is a tiny mature windmill and a market-linked investment portfolio whose income fell about 70% in FY26. That is a treasury book, not a durable, compounding operating driver. There is a theoretical value angle — the investment pile is worth more than the whole company's stock-market value — but with no dividend and no stated payout plan, it is not a trigger you can bank on.

Management consistent? → MAYBE

Credit where due: management promised the demerger in June 2023 and delivered it on schedule by December 2024, exactly as described, including the clean 1:1 share swap. That is real, kept-my-word consistency on the one big thing they committed to. But after the split they have given no guidance, no strategy and no payout plan for the leftover windmill-plus-investment company, and they pay no dividend on a very large cash pile — which CRISIL also flags as unresolved. With no earnings calls and a thin public record, the honest verdict is a cautious MAYBE: consistent on the demerger, silent on everything since.

This report contains no investment advice. It reads the available public record to judge (a) whether a durable earning trigger exists and (b) whether management has been consistent about it. Figures are approximate, drawn from the sources listed in Section 2, and are in Indian rupees.